

NETWORK ECONOMY

Online networks, such as eBay and Facebook, rarely stray into diseconomies of scale. They can deliver economies of scale even at an international level: the cost of adding one more user to a network is almost zero. However, the resulting benefits may be huge, because each new user in the network can interact or trade with other members of the network.

150
million
the number of eBay
users worldwide in 2014

